## SLR

The statutory liquidity ratio (SLR) is the ratio (fixed by the RBI) of the total deposits of a bank which is to be maintained by the bank with itself in non-cash form prescribed by the Government to be in the range of 25 to 40 per cent.[8]

At present it is 25 per cent (done in October, 1997 after CFS suggestions)[9]. It used to be as high as 38.5 per cent. The CFS has recommended the Government not to use this money by handing G-Secs to the banks. In its place a ***market-based interest*** on it should be paid by the Government it was being advised. However, there has been no follow up in this regard by the governments. The Government of India has removed the 25 per cent floor for the SLR by an Amendment (2007) providing the RBI a free hand in fixing it.

## Bank Rate

The interest rate which the RBI charges on its **long-term** lendings is known as the Bank Rate. The clients who borrow through this route are the GoI, State governments, Banks, Financial Institutions, Co-operative Banks, NBFCs, etc. The rate has direct impact on the long-term lending activities of the concerned lending bodies operating in the Indian financial system. Tha rate was realigned[10] with the MSF (Marginal Standing Facility) by the RBI in February, 2012.

## Repo Rate

The rate of interest the RBI charges from its clients on their ***short-term*** borrowing is the repo rate in India which is at present 8 per cent.[11] Basically, this is abbreviated form of the 'rate of repurchase' and in western economies it is known as the 'rate of discount'.[12]

In practice it is not called an interest rate but considered a discount on the dated Government Securities which are deposited by the institution to borrow for the short term. When they get their securities released from the RBI, the value of the securities is lost by the amount of the current repo rate. This rate functions as the benchmark rate for the inter-bank short-term